

MOCK TEST: MACROECONOMICS

Government Budget and the Economy (Unit 4)

Time: 1 Hour

Max Marks: 35

SECTION A: Multiple Choice Questions (1 Mark Each)

Q1. Which of the following is a 'Revenue Expenditure'?

- a) Purchase of machinery | b) Construction of roads
- c) Payment of interest | d) Purchase of shares

Q2. Fiscal Deficit is defined as:

- a) $\text{Total Exp} - \text{Total Receipts}$ | b) $\text{Total Exp} - (\text{Receipts excluding Borrowings})$
- c) $\text{Revenue Exp} - \text{Revenue Receipts}$ | d) $\text{Total Exp} - \text{Capital Receipts}$

Q3. Which of the following is a 'Direct Tax'?

- a) GST | b) Customs Duty
- c) Income Tax | d) Excise Duty

Q4. A primary objective of the Government Budget is:

- a) Printing currency | b) Resource Allocation
- c) Fixing stock prices | d) Private profit

Q5. Recovery of loans is classified as:

- a) Revenue Receipt | b) Capital Receipt
- c) Revenue Expenditure | d) Capital Expenditure

SECTION B: Very Short Answer (1 Mark Each)

Q6. Define 'Government Budget'.

Q7. What is 'Revenue Deficit'?

Q8. Differentiate between 'Tax Revenue' and 'Non-Tax Revenue'.

Q9. What is meant by 'Disinvestment'?

Q10. Why is the Budget called a 'Financial Plan'?

SECTION C: Short Answer (3 Marks Each)

Q11. Distinguish between 'Revenue Expenditure' and 'Capital Expenditure'.

Q12. Explain the 'Allocation Function' of the Government Budget.

Q13. What is 'Primary Deficit' and why is its calculation important?

Q14. How does the Budget help in 'Redistribution of Income'?

Q15. List any three sources of 'Capital Receipts' for the government.

SECTION D: Long Answer / Numerical (5 Marks Each)

Q16. Numerical Problem:

Data (in ₹ Crores):

- Total Expenditure: 10,000 | - Revenue Expenditure: 7,000
- Revenue Receipts: 6,000 | - Capital Receipts: 4,000
- Borrowings (part of Capital Receipts): 1,000

Calculate: (a) Revenue Deficit (b) Fiscal Deficit.

Q17. Explain the role of Government Budget as a tool for 'Economic Stabilization'.

ANSWER KEY & SOLUTIONS

Q1-Q5: c, b, c, b, b

Q16 Solution:

(a) Revenue Deficit = Rev. Exp - Rev. Receipts = 7,000 - 6,000 = **₹ 1,000 Crores**

(b) Fiscal Deficit = Total Exp - (Total Receipts - Borrowings) = 10,000 - (10,000 - 1,000) = **₹ 1,000 Crores**

Note: Fiscal Deficit is always equal to Borrowings when data is consistent.

**Mock Test Of Macroeconomics Class 12 Chapter government budget and the economy by
Thunderstudy**